

VANGUARD ACCOUNT OPENING AND ACCOUNT TYPES OVERVIEW
A Reference Guide for New and Existing Investors

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1. PURPOSE AND SCOPE

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This document describes the procedures for opening a Vanguard account, the documentation required by federal regulation

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2. ACCOUNT TYPES OFFERED

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2.1 BROKERAGE / TAXABLE ACCOUNTS

Individual Brokerage Account

- One owner; assets pass through probate at death unless TOD beneficiary is designated (see VG-OP-002)
- No contribution limits
- Eligible investments: Vanguard funds, third-party ETFs, individual stocks, bonds, options (Level 0 default)
- Funded with after-tax dollars; gains are subject to capital gains tax

Joint Brokerage Account

- Two owners; choose one of:
 - Joint Tenants with Right of Survivorship (JTWR0S): assets pass to surviving owner
 - Tenants in Common (TIC): each owner has a separate share that passes to their estate
 - Tenants by the Entirety (TBE - married couples in eligible states): creditor protection in some states
- Both owners receive statements; either may transact independently unless restricted

Custodial Account (UTMA/UGMA)

- Adult custodian manages assets on behalf of a minor beneficiary
- Assets become the beneficiary's at age of majority (18 or 21 depending on state)
- Reported under the minor's Social Security number
- Subject to "kiddie tax" rules

Trust Account

- Owned by a trust (revocable, irrevocable, charitable, or special needs)
- Requires trust documentation and trustee identification
- Reported under the trust's EIN or grantor's SSN depending on trust type

2.2 RETIREMENT ACCOUNTS

Traditional IRA

- 2026 contribution limit: \$7,500 (under age 50) / \$8,500 (age 50+)
- Contributions may be tax-deductible depending on income and workplace retirement plan coverage
- Withdrawals taxed as ordinary income
- Required Minimum Distributions (RMDs) apply (see VG-OP-003)
- 10% early-withdrawal penalty before age 59-1/2 (with exceptions)

Roth IRA

- Same 2026 contribution limits as Traditional IRA
- Contributions are not deductible; qualified withdrawals are tax-free
- Income limits apply: full contribution allowed if MAGI is under \$146,000 (single) or \$230,000 (married filing joint)
- No RMDs during the original owner's lifetime
- See VG-OP-006 for conversion procedures from Traditional to Roth

SEP-IRA (for self-employed and small employers)

- 2026 contribution limit: lesser of 25% of compensation or \$69,000
- Employer contributions only

SIMPLE IRA (for small employers)

- 2026 employee deferral limit: \$16,000 / \$19,500 with age-50+ catch-up
- Employer match required

Inherited IRA

- For non-spouse beneficiaries: most beneficiaries must distribute the entire balance within 10 years (per SECURE Act)
- Spouse beneficiaries may treat the IRA as their own or remain a beneficiary
- See VG-OP-002 (Beneficiary Policy) and VG-OP-003 (RMD Guide)

Solo 401(k) (for self-employed with no non-spouse employees)

- 2026 employee deferral limit: \$23,500 / \$31,000 with age-50+ catch-up / \$34,500 with super-catch-up (ages 60-63)
- Employer profit-sharing contribution up to 25% of net self-employment earnings

2.3 EDUCATION ACCOUNTS

529 College Savings Plan

- Sponsored by a state; investments grow tax-free for qualified education expenses
- 2026 contribution limit per state varies (typically \$300,000-\$575,000 lifetime)
- Withdrawals for non-qualified expenses subject to income tax and 10% penalty on earnings
- Vanguard partners with The Education Plan (New Mexico) for direct retail enrollment

Coverdell ESA

- \$2,000 annual contribution limit per beneficiary
- Income phaseouts apply
- Must be used by beneficiary's age 30

3. ACCOUNT OPENING PROCESS

3.1 STEPS TO OPEN AN ACCOUNT

Step 1 - Choose account type

Step 2 - Provide personal information:

- Full legal name
- Date of birth
- Social Security Number or Individual Taxpayer ID Number
- Permanent residential address (no PO boxes for primary address)
- Phone number and email
- Citizenship status
- Employment information (employer name, occupation, business address)

Step 3 - Identity verification (CIP - Customer Identification Program, required by USA PATRIOT Act)

Step 4 - Choose investments and funding method

Step 5 - Sign agreements electronically (e-signature) or by physical signature

Step 6 - Fund the account

Online application typical completion time: 10-15 minutes (subject to verification holds)

3.2 IDENTITY VERIFICATION

Vanguard verifies identity through:

- Match against credit-bureau records
- Confirmation of SSN/ITIN
- Address verification
- (For higher-risk profiles) Out-of-wallet questions or document upload

If automated verification fails, customers may be asked to provide:

- Government-issued photo ID (driver's license, passport, state ID)
- Utility bill or bank statement (within 90 days, showing name and address match)

3.3 FUNDING METHODS

ELECTRONIC BANK TRANSFER (ACH)

- Most common method
- Standard timeframe: 1-2 business days for funds to be available for trading
- Daily limit: \$100,000 outgoing, \$250,000 incoming (see VG-OP-005)
- No fee

CHECK BY MAIL

- Made payable to "The Vanguard Group"
- Mailed to PO Box 982901, Valley Forge, PA 19482
- Hold periods: 5 business days for personal/business checks; 1 business day for cashier's checks/money orders/certificates of deposit
- No fee

WIRE TRANSFER

- Same-day availability if received before 4:00 PM ET
- Vanguard does not charge an inbound wire fee (sending bank may)
- See VG-OP-005 for routing information

ROLLOVER FROM ANOTHER FIRM

- Direct rollover (trustee-to-trustee): preferred; no taxes withheld
- 60-day rollover: taxable distribution withheld at 20%; investor must redeposit full amount within 60 days
- Vanguard initiates rollover paperwork; processing time 5-15 business days

4. MINIMUM INVESTMENTS

Vanguard mutual funds:

- Investor Shares: \$3,000 (some funds higher)
- Admiral Shares: \$3,000 (index) / \$50,000 (active)
- Target Retirement Funds and STAR Fund: \$1,000

Vanguard ETFs and individual stocks: 1 share at market price.

Roth and Traditional IRAs accept small initial contributions; many shareholders begin with ETF shares to meet the limit.

5. TAXPAYER REPORTING

For taxable accounts and withdrawals from retirement accounts, Vanguard reports to the IRS via:

- Form 1099-DIV (dividends and capital gain distributions)
- Form 1099-B (sales proceeds and cost basis)
- Form 1099-R (retirement plan distributions)
- Form 5498 (IRA contribution and fair market value reporting)

For full information on tax forms and timing, see VG-OP-010 (Tax Document Guide).

6. ACCOUNT MAINTENANCE

Account Service Fee

- \$25 per year for accounts with balances under \$5,000
- Waived for accounts enrolled in electronic delivery of statements, prospectuses, and shareholder reports
- Waived for accounts in Vanguard Personal Advisor Services and certain brokerage relationships
- See VG-OP-017 (Statement and E-Delivery Policy)

Statements

- Quarterly for most accounts
- Monthly for brokerage accounts with activity
- Year-end consolidated statement for all accounts

Beneficiary Designations

- Strongly recommended for IRAs, 401(k)s, and TOD-eligible brokerage accounts
- See VG-OP-002 (Beneficiary Designation Policy and Procedures)

Trusted Contacts and POA

- Recommended for all account holders age 65+
- See VG-OP-013 (Trusted Contact and Power of Attorney Policy)

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7. CONTACT INFORMATION

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General Investor Services: 800-555-0199
Retirement Plan Specialists: 800-555-0155
Brokerage Services: 800-555-0177
Personal Advisor Services: 800-555-0188

Hours: Monday-Friday 8:00 AM-10:00 PM ET
Saturday 9:00 AM-4:00 PM ET
Closed Sunday

For full hours and holidays, see VG-OP-015.

Mailing Address: PO Box 982901, Valley Forge, PA 19482
Overnight Delivery: 100 Vanguard Blvd, Malvern, PA 19355
Web: investor.vanguard.com

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8. RELATED DOCUMENTS

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- VG-OP-002 - Beneficiary Designation Policy
- VG-OP-003 - Required Minimum Distributions Guide
- VG-OP-005 - Wire Transfer and ACH Policies
- VG-OP-006 - Roth IRA Conversion Procedures
- VG-OP-007 - Cost Basis Methods Explainer
- VG-OP-008 - Personal Advisor Services Overview
- VG-OP-010 - Tax Document Guide
- VG-OP-013 - Trusted Contact and Power of Attorney Policy
- VG-OP-015 - Customer Service Hours and Contact
- VG-OP-017 - Statement and E-Delivery Policy

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